



Apple Inc. Discounted Cash Flow Valuation

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Valuation date: 01 Jan 2026

Valuation summary & scenario analysis

Equity per share expressed in USD, all other figures in USD millions

Base case



Key valuation assumptions

WACC	8,03 %
Terminal growth	3,00 %
Terminal multiple	17,20x
Net debt	62 723
Shares outstanding	13 384

Shares outstanding = 2025–2030 average,
reflecting modeled \$100bn/yr buybacks

Perpetuity method

Premium or discount

25,41 %

	Enterprise value	Equity value	Equity per share
Bear case	2 466 797	2 404 074	179,62
Base case	2 954 866	2 892 143	216,09
Bull case	3 376 304	3 313 581	247,58

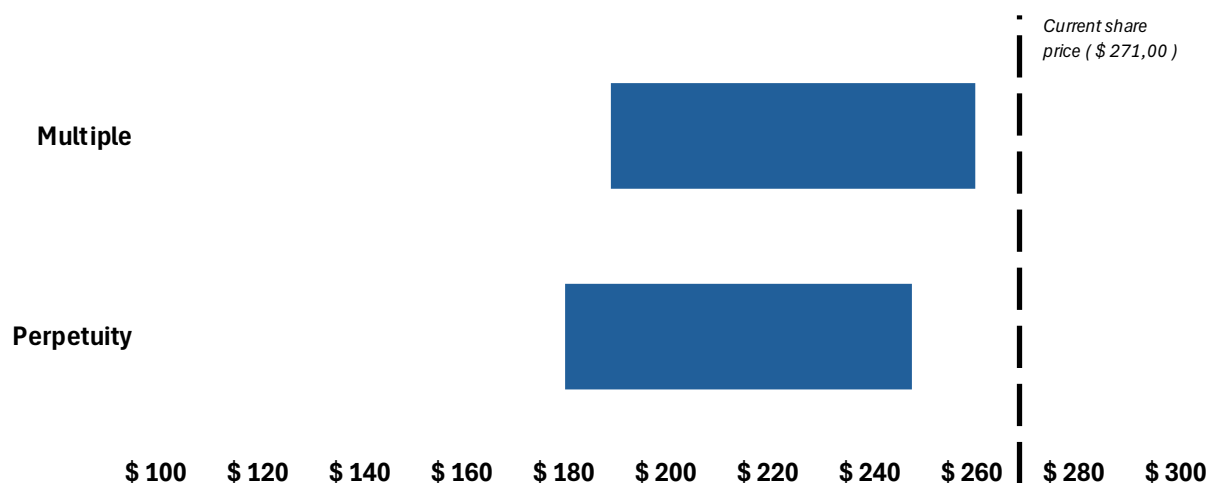
Multiple method

Premium or discount

19,41 %

	Enterprise value	Equity value	Equity per share
Bear case	2 585 169	2 522 446	188,47
Base case	3 100 119	3 037 396	226,94
Bull case	3 544 892	3 482 169	260,17

Implied Valuation Range – Football Field Chart



Implied share price sensitivity analysis

Base case



Current share price **\$271,00**

BUY

SELL

Perpetuity method

		Terminal growth						
		1,00 %	1,50 %	2,00 %	2,50 %	3,00 %	3,50 %	4,00 %
WACC	5,82 %	246,20	270,27	300,63	340,13	393,65	470,24	588,90
	6,82 %	201,67	217,14	235,81	258,80	287,82	325,57	376,71
	7,82 %	170,26	180,87	193,32	208,10	225,95	247,93	275,67
	8,82 %	146,92	154,56	163,33	173,49	185,39	199,52	216,59
	9,82 %	128,91	134,61	141,05	148,37	156,75	166,47	177,85
	10,82 %	114,60	118,97	123,85	129,31	135,47	142,47	150,50
	11,82 %	102,96	106,39	110,18	114,37	119,04	124,27	130,17

Multiple method

		Terminal multiple						
		10,52	12,52	14,52	16,52	18,52	20,52	22,52
WACC	5,82 %	181,13	204,43	227,73	251,04	274,34	297,65	320,95
	6,82 %	170,97	192,78	214,60	236,42	258,24	280,06	301,88
	7,82 %	161,50	181,94	202,38	222,82	243,26	263,70	284,15
	8,82 %	152,67	171,83	190,99	210,15	229,32	248,48	267,64
	9,82 %	144,43	162,40	180,37	198,35	216,32	234,29	252,27
	10,82 %	136,73	153,60	170,47	187,33	204,20	221,07	237,94
	11,82 %	129,53	145,37	161,21	177,06	192,90	208,74	224,58

DCF quality metrics

Revenue CAGR	5,62 %
Free cash flow CAGR	7,19 %
Terminal value % of EV	80 %
WACC - Terminal Growth	5,03 %

Model health checks

2026F	2027F	2028F	2029F	2030F	2031F
Balance sheet balances?					
Yes	Yes	Yes	Yes	Yes	Yes
Cash flow reconciles?					
Yes	Yes	Yes	Yes	Yes	Yes

Inputs

Drivers

Base case	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
Revenue growth %				6,00 %	6,00 %	5,70 %	5,70 %	5,50 %	5,20 %	3,00 %
Bear case				4,50 %	3,20 %	2,80 %	1,50 %	0,80 %	0,10 %	
Base case				6,00 %	6,00 %	5,70 %	5,70 %	5,50 %	5,20 %	
Bull case				7,40 %	7,80 %	8,20 %	8,50 %	9,00 %	9,15 %	

More about revenue forecast on the input calc tab

Assumptions

Research & Development % of revenue	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %
SG&A % of revenue	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %
Gross margin %	43,30 %	46,20 %	46,90 %	47,30 %	47,90 %	48,40 %	49,00 %	50,40 %	50,90 %	51,00 %
Days in year	365	365	365	365	365	365	365	365	365	365
Accounts payable (days)	107	120	115	115	115	115	115	115	115	115
Account receivable (days)	28	31	35	32	32	32	32	32	32	32
inventory (days)	11	13	9	9	9	9	9	9	9	9
D&A % of revenue	2,80 %									
Capital expenditure % of revenue	2,80 %									
Tax rate	15,50 %									
Buybacks of common stock per year										100 000
Divident yearly growth %										1,30 %

Any forecast line shown in blue font on the Model tab indicates that the item has either been held constant at the latest historical year's value, set to zero, or estimated based on a specific assumption.

Valuation assumptions

Terminal growth rate	3,00 %	Shares outstanding	13 384
EV / EBITDA multiple	17,20x	current share price	\$271,00
WACC	8,03 %	Valuation date	1.1.2026

EV / EBITDA multiple is based on a trading comps analysis

WACC is derived using a CAPM-based framework. For flexibility, the model incorporates a beta toggle, enabling to switch between the company's historical beta and a calculated beta.

WACC

Risk-free rate	4,36 %
Equity risk premium	4,24 %

Calculated beta = Industry unlevered beta x (1+ (D/E) x (1 - tax rate))	
Industry unlevered beta	0,83
Debt	291 (Billions of dollars)
Market cap	4 032 (Billions of dollars)
D/E	0,072
tax rate	15,50 %

Calculated beta	0,88
Historical beta	1,07

Beta used in the model	0,88
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Sources

Damodaran

Damodaran

macrotrends

macrotrends

this model

Yahoo finance

beta switch:

Calculated beta

▼

Cost of equity	8,09 %
Cost of debt	5,01 %

alphaspread

Weight of debt	1,98 %
weight of equity	98,02 %

alphaspread

alphaspread

WACC	8,03 %
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Exit Multiple - Comparable analysis

	EV / EBITDA
Microsoft Corporation	22,52x
Alphabet Inc.	24,81x
Samsung Electronics Co.	10,92x
Sony Group Corporation	7,14x
Amazon.com	17,20x

Source: stockanalysis.com
Multiples based on latest reported fiscal year.

Average	16,52x
Median	17,20x
Minimum	7,14x
Maximum	24,81x

Multiple used in the model	17,20x
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3-statement model

Income Statement

All figures in USD millions unless stated

Base case

[illegible]

revenue	383 285	391 035	416 161	441 131	467 598	494 252	522 424	551 157	579 817	597 212
COGS	(214 137)	(210 352)	(220 960)	(232 476)	(243 619)	(255 034)	(266 436)	(273 374)	(284 690)	(292 634)
Gross profit	169 148	180 683	195 201	208 655	223 980	239 218	255 988	277 783	295 127	304 578

Operating expenses: _____

Research and development	(29 915)	(31 370)	(34 550)	(35 290)	(37 408)	(39 540)	(41 794)	(44 093)	(46 385)	(47 777)
Selling, general and administrative	(24 932)	(26 097)	(27 601)	(30 879)	(32 732)	(34 598)	(36 570)	(38 581)	(40 587)	(41 805)
Total	(54 847)	(57 467)	(62 151)	(66 170)	(70 140)	(74 138)	(78 364)	(82 674)	(86 973)	(89 582)

114 301	123 216	133 050	142 485	153 840	165 080	177 624	195 110	208 154	214 996
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Other income/(expense), net	(565)	269	(321)	0	0	0	0	0	0	0
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Income before provision for taxes	113 736	123 485	132 729	142 485	153 840	165 080	177 624	195 110	208 154	214 996
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Provision for income taxes	(16 741)	(29 749)	(20 719)	(22 085)	(23 845)	(25 587)	(27 532)	(30 242)	(32 264)	(33 324)
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Net income	96 995	93 736	112 010	120 400	129 995	139 493	150 092	164 868	175 891	181 672
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Balance Sheet

All figures in USD millions unless stated

All figures in USD millions unless stated	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
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Assets

Current assets

Cash and cash equivalents	29 965	29 943	35 934	45 187	60 272	84 713	119 408	167 322	227 323	292 896
Marketable securities	31 590	35 228	18 763	18 763	18 763	18 763	18 763	18 763	18 763	18 763
Accounts receivable, net	29 508	33 410	39 777	38 674	40 995	43 332	45 802	48 321	50 833	52 358
Inventories	6 331	7 286	5 718	5 732	6 007	6 289	6 570	6 741	7 020	7 216
Other current assets	46 172	47 120	47 765	47 765	47 765	47 765	47 765	47 765	47 765	47 765
Total current assets	143 566	152 987	147 957	156 121	173 802	200 861	238 307	288 911	351 704	418 999

Non-current assets	
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[illegible]

Total assets	352 583	364 980	359 241	367 405	385 086	412 145	449 591	500 195	562 988	630 282
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Liabilities

Current liabilities	
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[illegible]

Total current liabilities	145 308	176 392	165 631	169 017	172 528	176 124	179 717	181 903	185 468	187 971
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Non-current liabilities

[illegible][illegible]

Total liabilities	290 437	308 030	285 508	288 894	292 405	296 001	299 594	301 780	305 345	307 848
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Shareholders equity

Common stock & APIC	73 812	83 276	93 568	93 568	93 568	93 568	93 568	93 568	93 568	93 568
Retained earnings	(214)	(19 154)	(14 264)	(9 485)	4 685	28 147	62 001	110 419	169 646	234 437
Accumulated other comprehensive loss	(11 452)	(7 172)	(5 571)	(5 571)	(5 571)	(5 571)	(5 571)	(5 571)	(5 571)	(5 571)
Total shareholders equity	62 146	56 950	73 733	78 512	92 682	116 144	149 998	198 416	257 643	322 434

Total liabilities and shareholders equity	352 583	364 980	359 241	367 405	385 086	412 145	449 591	500 195	562 988	630 282
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Cash flow statement

All figures in USD millions unless stated	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
Operating activities										
Net income	96 995	93 736	112 010	120 400	129 995	139 493	150 092	164 868	175 891	181 672
Depreciation and amortization	11 519	11 445	11 698	12 352	13 093	13 839	14 628	15 432	16 235	16 722
Other	8 606	9 422	12 774	0	0	0	0	0	0	0
Changes in operating assets and liabilities										
Account receivable	(1 688)	(3 788)	(6 682)	1 103	(2 320)	(2 337)	(2 470)	(2 519)	(2 513)	(1 525)
Inventories	(1 618)	(1 046)	1 400	(14)	(275)	(281)	(281)	(171)	(279)	(196)
Account payable	(1 889)	6 020	902	3 386	3 511	3 597	3 593	2 186	3 565	2 503
Other	(1 382)	2 465	(20 620)	0	0	0	0	0	0	0
Cash generated by operating activities	110 543	118 254	111 482	137 226	144 003	154 310	165 562	179 796	192 899	199 176
Investing activities										
Property, plant and equipment	(10 959)	(9 447)	(12 715)	(12 352)	(13 093)	(13 839)	(14 628)	(15 432)	(16 235)	(16 722)
Other	14 664	12 382	27 910	0	0	0	0	0	0	0
Cash generated by investing activities	3 705	2 935	15 195	(12 352)	(13 093)	(13 839)	(14 628)	(15 432)	(16 235)	(16 722)
Financing activities										
Payments for dividends	(15 025)	(15 234)	(15 421)	(15 621)	(15 825)	(16 030)	(16 239)	(16 450)	(16 664)	(16 880)
Repurchases of common stock	(77 550)	(94 949)	(90 711)	(100 000)	(100 000)	(100 000)	(100 000)	(100 000)	(100 000)	(100 000)
Other	(15 913)	(11 800)	(14 554)	0	0	0	0	0	0	0
Cash used in financing activities	(108 488)	(121 983)	(120 686)	(115 621)	(115 825)	(116 030)	(116 239)	(116 450)	(116 664)	(116 880)
Cash balance										
Beginning	24 977	30 737	29 943	35 934	45 187	60 272	84 713	119 408	167 322	227 323
Increase / Decrease	5 760	(794)	5 991	9 253	15 086	24 441	34 695	47 914	60 001	65 574
Ending	30 737	29 943	35 934	45 187	60 272	84 713	119 408	167 322	227 323	292 896

DCF model

UFCF schedule

All figures in USD millions unless stated	2026F	2027F	2028F	2029F	2030F	2031F	term
tax rate	15,50 %						
EBIT x (1 - tax rate)	120 400	129 995	139 493	150 092	164 868	175 891	181 672
D&A	12 352	13 093	13 839	14 628	15 432	16 235	16 722
Capex	(12 352)	(13 093)	(13 839)	(14 628)	(15 432)	(16 235)	(16 722)
Cash changes from working capital	4 474	916	978	841	(504)	774	782
UFCF	124 874	130 910	140 471	150 934	164 363	176 664	182 454
UFCF % of revenue	28,31 %	28,00 %	28,42 %	28,89 %	29,82 %	30,47 %	30,55 %

DCF schedule: Perpetuity method

All figures in USD millions unless stated

Terminal growth	3,00 %
WACC	8,03 %

2026F	2027F	2028F	2029F	2030F	2031F	term
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Total debt	98 657
Cash & equivalents	35 934
Net debt:	62 723

Discrete forecast	124 874	130 910	140 471	150 934	164 363	176 664	182 454
Terminal value							3 736 131
Total cash flow	124 874	130 910	140 471	150 934	164 363	176 664	3 918 584

Enterprise value	2 954 866
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Discounted cash flow:	2 954 866
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Enterprise value	2 954 866
Net debt	62 723
Equity value	2 892 143

Equity value	2 892 143
Shares outstanding	13 384
Equity value per share	\$/sh 216,09

Equity value per share	216,09
Current share price	271,00
Premium	25,41 %

DCF schedule: Multiple method

All figures in USD millions unless stated

EV / EBITDA multiple	17,20
WACC	8,03 %
Term EBITDA	231 718

2026F	2027F	2028F	2029F	2030F	2031F	term
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Total debt	98 657
Cash & equivalents	35 934
Net debt:	62 723

Discrete forecast	124 874	130 910	140 471	150 934	164 363	176 664	182 454
Terminal value							3 985 554
Total cash flow	124 874	130 910	140 471	150 934	164 363	176 664	4 168 008

Enterprise value	3 100 119
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Discounted cash flow	3 100 119
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Enterprise value	3 100 119
Net debt	62 723
Equity value	3 037 396

Equity value	3 037 396
Shares outstanding	13 384
Equity value per share	\$/sh 226,94

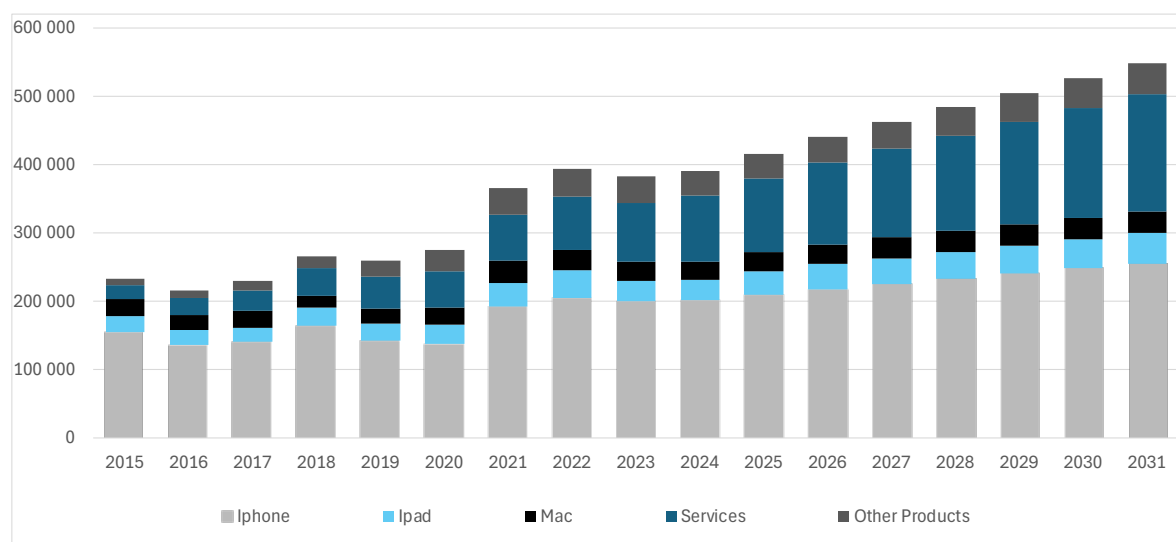
Equity value per share	226,94
Current share price	271,00
Premium	19,41 %

Supporting schedules & calculations

Note: this section contains supporting/reference calculations, not all of which are linked to the live model.

Revenue forecasts

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
Revenue growth %		-7,73 %	6,30 %	15,86 %	-2,04 %	5,51 %	33,26 %	7,79 %	-2,80 %	2,02 %	6,43 %	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %
Iphone	155 041	136 700	141 319	164 888	142 381	137 781	191 973	205 489	200 583	201 183	209 586	217 557	225 159	232 760	240 361	247 963	255 564
Ipad	23 227	20 628	19 222	25 198	25 740	28 622	35 190	40 177	29 357	29 984	33 708	36 595	38 036	39 477	40 918	42 359	43 800
Mac	25 471	22 831	25 850	18 380	21 280	23 724	31 862	29 292	28 300	26 694	28 023	29 407	30 014	30 621	31 228	31 835	32 441
Services	19 909	24 348	29 980	39 748	46 291	53 768	68 425	78 129	85 200	96 169	109 158	119 424	129 696	139 969	150 242	160 514	170 787
Other Products	10 067	11 132	12 863	17 381	24 482	30 620	38 367	41 241	39 845	37 005	35 686	36 940	39 030	40 870	42 450	44 115	46 300
Total revenue	233 715	215 639	229 234	265 595	260 174	274 515	365 817	394 328	383 285	391 035	416 161	439 923	461 935	483 697	505 199	526 786	548 893
		-11,83 %	3,38 %	16,68 %	-13,65 %	-3,23 %	39,33 %	7,04 %	-2,39 %	0,30 %	4,18 %	3,80 %	3,49 %	3,38 %	3,27 %	3,16 %	3,07 %
Ipad																	
Growth %		-11,19 %	-6,82 %	31,09 %	2,15 %	11,20 %	22,95 %	14,17 %	-26,93 %	2,14 %	12,42 %	8,56 %	3,94 %	3,79 %	3,65 %	3,52 %	3,40 %
Mac																	
Growth %		-10,36 %	13,22 %	-28,90 %	15,78 %	11,48 %	34,30 %	-8,07 %	-3,39 %	-5,67 %	4,98 %	4,94 %	2,06 %	2,02 %	1,98 %	1,94 %	1,91 %
Services																	
Growth %		22,30 %	23,13 %	32,58 %	16,46 %	16,15 %	27,26 %	14,18 %	9,05 %	12,87 %	13,51 %	9,40 %	8,60 %	7,92 %	7,34 %	6,84 %	6,40 %
Other Products																	
Growth %		10,58 %	15,55 %	35,12 %	40,85 %	25,07 %	25,30 %	7,49 %	-3,38 %	-7,13 %	-3,56 %	3,51 %	5,66 %	4,71 %	3,87 %	3,92 %	4,95 %
Total																	
Growth %		-7,73 %	6,30 %	15,86 %	-2,04 %	5,51 %	33,26 %	7,79 %	-2,80 %	2,02 %	6,43 %	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %



Revenue Scenarios

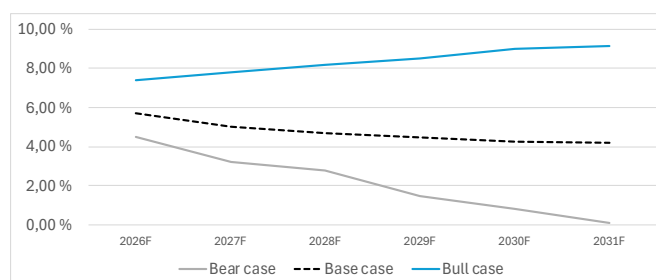
	2026F	2027F	2028F	2029F	2030F	2031F
Bear case	4,50 %	3,20 %	2,80 %	1,50 %	0,80 %	0,10 %
Base case	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %
Bull case	7,40 %	7,80 %	8,20 %	8,50 %	9,00 %	9,15 %

For example

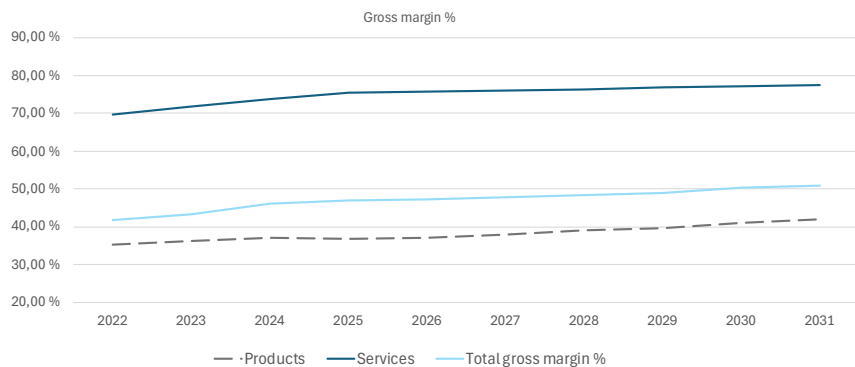
Bear case: China risks, regulatory pressure on services or shrinking iPhone market

Base case: Historical trend continues, Services grow moderately

Bull case: AI-driven iPhone cycle, 30% of revenue, new product



Cost forecast

[illegible]

Working capital schedule

All figures in USD millions unless stated

All figures in USD millions unless stated										
	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
Days in period	365	365	365	365	365	365	365	365	365	365
Revenue	383 285	391 035	416 161	441 131	467 598	494 252	522 424	551 157	579 817	597 212
COGS	214 137	210 352	220 960	232 476	243 619	255 034	266 436	273 374	284 690	292 634
Accounts payable (days)	107	120	115	115	115	115	115	115	115	115
Account receivable (days)	28	31	35	32	32	32	32	32	32	32
inventory (days)	11	13	9	9	9	9	9	9	9	9
Accounts payable	62 611	68 960	69 860	73 246	76 757	80 353	83 946	86 132	89 697	92 200
Account receivable	29 508	33 410	39 777	38 674	40 995	43 332	45 802	48 321	50 833	52 358
Inventories	6 331	7 286	5 718	5 732	6 007	6 289	6 570	6 741	7 020	7 216
Cash changes										
Accounts payable		6 349	900	3 386	3 511	3 597	3 593	2 186	3 565	2 503
Account receivable		(3 902)	(6 367)	1 103	(2 320)	(2 337)	(2 470)	(2 519)	(2 513)	(1 525)
Inventories		(955)	1 568	(14)	(275)	(281)	(281)	(171)	(279)	(196)
Cash from working capital		1 492	(3 899)	4 474	916	978	841	(504)	774	782

Asset schedule

All figures in USD millions unless stated

[illegible]

Share buyback schedule

	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
Beginning of the year shares outstanding			13 384	13 015	12 646	12 277	11 908	11 539	11 170	
Buybacks \$			100 000	100 000	100 000	100 000	100 000	100 000	100 000	
Share price			271	271	271	271	271	271	271	
Ending of the year shares outstanding			13 015	12 646	12 277	11 908	11 539	11 170	10 801	

Average shares outstanding 2025-2030	11 908
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